

21. 9:00 AM CASE NUMBER: C26-00948
CASE NAME: ABRAHIM YASEEN HOMRAN VS. SN SERVICING CORPORATION
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL AS TO ABRIHIM MOHAMED YASEEN HOMRAN**
FILED BY: YASEEN HOMRAN, ABRAHIM MOHAMED
TENTATIVE RULING:

The motion of Jason W. Estavillo and Estavillo Law Group to be relieved as counsel for Plaintiff Abraham Mohamed Yaseen Homran is **granted**. Counsel is ordered to: (1) file an Amended Order Granting Attorney's Motion to Be Relieved as Counsel-Civil (Judicial Council Form MC-053) with all updated future hearing dates; (2) serve the Order on Plaintiff; and (3) file proof of service with the Court. Counsel will be relieved upon filing the proof of service.

22. 9:00 AM CASE NUMBER: C26-01042
CASE NAME: RUTH ARCEGA CALDERON VS. FCA US LLC
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: FCA US LLC
TENTATIVE RULING:

Introduction

Before the Court is Defendant FCA US LLC's ("FCA" or "Defendant") Demurrer to Plaintiff Ruth Arcega and Gustavo Araoz's Complaint ("Complaint") which was filed on March 25, 2026. The Demurrer challenges the sixth cause of action for Fraudulent Concealment.

For the reasons explained below, Defendant FCA US LLC's **Demurrer to Plaintiffs' sixth cause of action for Fraudulent Concealment is overruled.**

Meet and Confer Requirement

Defendant satisfies its meet and confer requirements in detailing its efforts in reaching out and speaking to Plaintiff's counsel via telephone on April 14, 2026, but the parties were unable to resolve the outstanding issues. (Gahan Decl. ¶¶ 2.)

Factual Allegations

On March 25, 2026, Plaintiff initiated this action asserting five causes of action against FCA, four under the Song-Beverly Consumer Warranty Act ("Act") for breach of express and implied warranty, and another cause of action for fraudulent inducement – concealment.

The Complaint alleges that on February 13, 2023, Plaintiff entered into a warranty contract with Defendant FCA regarding a 2022 Jeep Grand Cherokee (i.e. "Subject Vehicle") (Compl. ¶ 7), and that "[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, transmission defects, electrical defects; among other defects and non-conformities." (Id., ¶ 12.) There are no allegations in the Complaint that Plaintiff contracted directly with FCA nor had any direct dealings with FCA when they purchased the vehicle.

The Complaint alleges that "Plaintiffs discovered Defendants' wrongful conduct alleged herein October 22, 2025, when they requested a buyback and/or restitution of the Subject Vehicle from

Defendant FCA, as the Vehicle continued to exhibit symptoms of defects following Defendant FCA's unsuccessful attempts to repair them. However, Defendant FCA failed to provide restitution pursuant to the Song-Beverly Consumer Warranty Act." (Id., ¶ 39.)

As to the fraudulent inducement – concealment claim, the Complaint alleges that "FCA knowingly and intentionally concealed material facts and breach its duty not to do so." (Id. at ¶ 69.) And, "FCA acquired its knowledge of the Transmission Defect and its potential consequences prior to Plaintiffs acquiring the Vehicle, through sources not available to consumers such as Plaintiffs, including but not limited to pre-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant FCA and its network of dealers, aggregate warranty data compiled from Defendant FCA's network of dealers, testing conducted by Defendant FCA in response to these complaints, as well as warranty repair and part replacements data received by Defendant FCA from Defendant FCA's network of dealers, amongst other sources of internal information." (Id. at ¶ 68(a).) According to the Complaint, "FCA has knowingly and intentionally concealed material facts and breached its duty not to do so." (Id. at ¶ 69.)

Legal Standard for Demurrer

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("Doe")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis

Sixth Cause of Action for Fraudulent Inducement

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 49.)

Omitted Facts

Defendant contends that none of the allegations states what the defect is, let alone the defect in the Subject Vehicle, and that the Complaint merely describes the list of malfunctions. (Demurrer at pp. 10-11.)

The First District Court of Appeal in *Dhital*, in response to Nissan's contention that Plaintiff did not provide specifics about Nissan's duty to disclose, reasoned that "plaintiffs alleged the CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function. The SAC also alleged Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to NHTSA and to Nissan and its dealers. It is

not clear what additional information Nissan believes should have been included.” (*Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 828, 843-44.)

Here, Plaintiffs allege entering into a warranty relationship with FCA on or about June 29, 2022 (Complaint, ¶ 7); Plaintiffs identified the material fact that FCA knew of inherent defects in the Subject Vehicle’s 8 -speed transmission prior to their acquisition of the Subject Vehicle that FCA withheld from Plaintiff (Id ¶ 68-69); Plaintiffs alleged that FCA had superior knowledge of the facts (Id ¶); the safety risks posed by the transmission defects (Id ¶ 18); the materiality of that information (Id ¶ 70); Plaintiffs’ reliance on the non-disclosure (Id ¶70); and damages (Id ¶ 72-73.)

Defendant additionally contends that the Complaint failed to meet “the requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

In cases claiming fraud through non-disclosure, it is not practical to allege facts showing how, when and by what means something did not happen. (*Alfaro v. Community Housing Improvement System Planning Assn.* (2009) 171 Cal.App.4th 1356, 1384.) Instead, the focus shifts from ‘who said what’ to whether there was a duty to disclose, and the elements of fraud. (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1130-31.) Thus, the corporate requirement for specificity does not apply to Plaintiffs’ fraudulent concealment cause of action.

Duty to Disclose

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship . . .; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40.) “Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as . . . parties entering into any kind of contractual agreement.” (Id.)

Defendant argues that the Complaint offers no allegations that FCA and the Plaintiff were in a buyer-seller relationship or any other contractual relationship with respect to the purchase of the vehicle. (Demurrer at p. 13: 11-12.)

Here, the complaint explicitly alleges that Plaintiffs entered into a warranty contract with FCA regarding the vehicle. (Complaint, ¶ 7.) Plaintiffs and FCA are “parties entering into [a] contractual agreement.” This is between FCA and Plaintiffs, not FCA and the public at large. (See *Rattagan*, supra, at fn. 13 [relationship between manufacturer/warrantor and buyer].) Thus, FCA had a pre-contract duty to disclose material facts, which Plaintiff alleged was exclusive knowledge of the Defendant. (Complaint, ¶ 68.)

Transactional Relationship

“Under California law, a vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 851

[emphasis in original].) Truly it would be anomalous if a manufacturer were able to avoid any responsibility for its lack of disclosure by saying its dealership sold the car. Defendant FCA certainly expects its dealerships to sell its vehicles to purchasers. (See *Khan v. Shiley Inc.* (1990) 217 Cal.App.3d 848, 850-851.)

Bader is analogous. (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1132.) J&J makes and sells baby powder to consumers through drug stores, grocery stores, and other retailers. Stores like CVS and Vons are certainly not agents of J&J. But these intermediaries do not disrupt the “transactional relationship” between a manufacturer and a consumer. As a result, J&J could be held liable for concealing material information about its baby powder from end users. Like *Bader*, FCA forms a transactional relationship with buyers, such as Plaintiffs, through retail sales of its vehicles to consumers, and FCA profits from those sales. Thus, strict privity in the sale is not required. Here, the complaint explicitly alleges that Plaintiffs entered into a warranty contract with FCA regarding the vehicle. (Complaint, ¶ 7.) This is enough to satisfy the pleading requirement.

Defendant’s use of the *Ford Motor Warranty Cases* is unpersuasive because third-party enforcement of an arbitration agreement and transactional relationship requisite for a fraudulent concealment cause of action are two distinct issues with two very different standards.

Exclusive Knowledge

Dhital acknowledged that the allegation that “Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to the National Highway Traffic Safety Administration and to Nissan and its dealers” was enough for the pleading stage and that the Court, declined to hold that plaintiffs were required to include more detailed allegations about the alleged defects in the transmissions.

Active Concealment

The Court refrains from ruling on this issue since the Court already found Plaintiffs adequately pled exclusive knowledge.

Justifiable and Actual Reliance

Plaintiffs’ burden is to include specific allegations establishing that “had the omitted information been disclosed [he] would have been aware of it and behaved differently.” (*Mirkin v. Wasserman* (1993) 5 Cal.4th 1082, 1093.) Plaintiffs allege that had Plaintiffs known that the Subject Vehicle and its transmission were defective at the time of sale, they would not have purchased the Subject Vehicle. (Complaint, ¶¶ 70-71.) Defendant’s position is that Plaintiffs’ allegations regarding the reliance element are general and conclusory.

Defendant exclusively relies on *Seely v. White Motor Co.* (1965) 63 Cal. 2d 9 for the proposition that if reliance of any kind can be reasonably inferred from Plaintiff’s factual allegations, the inference is that Plaintiffs relied not upon omissions but instead upon the express warranty to purchase the Subject Vehicle. It is important to note that *Seely* was dealing with express warranty and strict liability claims and did not include a fraud claim. Thus, the argument made in accordance with *Seely* is misplaced and not persuasive.

Economic Loss Rule

The California Supreme Court has repeatedly allowed tort damages where a contract was induced by

fraud. “[F]raudulent inducement of contract—as the very phrase suggests—is not a context where the ‘traditional separation of tort and contract law’ [citations] obtains. To the contrary, this area of the law traditionally has involved both contract and tort.” (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) “[W]e permit the plaintiff to recover exemplary damages in cases in which the breached contract was induced through promissory fraud.” (*Freeman & Mills, Inc. v. Belcher Oil Co.* (1995) 11 Cal.4th 85, 108.) The economic loss rule does not apply to fraudulent inducement because the duty of fair dealing is independent of the contract, and because the tortious conduct occurs prior to contract formation. (See *Erllich v. Menezes* (1999) 21 Cal.4th 543, 551-52, “[T]he duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.”) The recent decision in *Rattagan* makes clear that the economic loss rule does not apply to claims for fraudulent inducement, regardless of whether affirmative misrepresentation or concealment is involved. (See *Rattagan v. Uber Technologies, Inc.* (2024) 15 Cal.5th 1.)

Because *Rattagan* was reframed as specifically about fraud-in-the-performance, and Plaintiffs have alleged fraud-in-the-inducement, the fraud-in-the-performance test in *Rattagan* does not apply. (*Rattagan*, p. 26.)

Dhital is the appropriate precedent that is on point. *Dhital* held that the economic loss rule does not bar claims for fraudulent inducement, including, as alleged here, through fraudulent concealment. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843; and see *Rattagan*, supra, at p. 31.)

Defendant argues that Plaintiffs’ claims are barred by the economic loss rule. *Dhital* refuted this argument, and *Rattagan* confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (*Rattagan*, supra, p. 38; and see *Dhital*, supra, 84 Cal.App.5th at 839.) (See *Moore v. American Honda Motor Co., Inc.* (N.D.Cal. 2025) 2025 WL 948114, at *7 [concluding *Rattagan* only applies to concealment during the performance of a contract, while *Dhital* applies to inducement-based claims].)

In this case, the duty that Defendant allegedly breached is its duty in tort of fair dealing, which bars pre-sale suppression of information. This duty has long existed in common law, and was codified in Civil Code section 1710, subdivision (3), enacted in 1872. (See *Li v. Yellow Cab Co.* (1975) 13 Cal.3d 804, 814-16, [background on the 1872 Civil Code].) Holding that the warranty contract, indirectly through the economic loss rule, excuses FCA from responsibility for its own fraud runs counter to California law. (Civ. Code, § 1668.) Thus, the economic loss rule does not apply here.

Conclusion

For the reasons analyzed above, Defendant FCA US LLC’s **Demurrer to Plaintiffs’ sixth cause of action for Fraudulent Concealment is overruled.**

23. 9:00 AM CASE NUMBER: C26-02061

CASE NAME: BEATRIZ ARREOLA VS. DOES 1-20

HEARING IN RE: ORDER TO SHOW CAUSE RE PRELIMINARY INJUNCTION

FILED BY: ARREOLA, BEATRIZ A.

TENTATIVE RULING:

Based on the Court’s review of the docket, it appears that all defendants were been dismissed on August 21, 2026 – Sokoloff Remtulla LLP without prejudice and RoundPoint Mortgage Service LLC and TH MSR Holdings LLC with prejudice. The Court believes the request for Preliminary Injunction is **moot** and the entire matter should be dismissed.